Reading metrics honestly

Week 1, Lecture 2 · B2C to $10k MRR

Autumn 2026 · A 10-Week Growth Manual for Technical Founders

What we'll cover

- The vanity vs actionable metric distinction
- MRR vs ARR vs gross revenue: what each hides
- Why aggregate retention curves deceive
- Cohort thinking: seeing the truth in the data
- Building a one-screen dashboard: install to activation to paid
- Your north-star metric

Vanity vs actionable metrics

The three-A test (Eric Ries, 2009)

A metric is actionable if it passes all three tests:

- **Actionable:** you can link a specific action to the observed change
- **Accessible:** anyone on your team can find and understand the number
- **Auditable:** you can re-derive it from raw data and it matches

A metric that fails any one of these three is a vanity metric. It may feel good, but it will not help you make a better decision tomorrow.

(Ries, 2009: tim.blog/2009/05/19/vanity-metrics-vs-actionable-metrics/)

Vanity metrics: a field guide

Common vanity metrics and what makes them vanity:

- **Total registered users:** counts signups who never returned, test accounts, competitors scouting you
- **Total pageviews:** includes bots, your own team, people who bounced in 2 seconds
- **App Store downloads:** free; no payment intent; no activation required
- **Social media followers:** do not correlate with revenue unless you have a strong content-to-conversion funnel

None of these are useless. All of them become vanity when reported in isolation without a denominator.

Actionable alternatives

Replace vanity metrics with rates and per-user measures:

Vanity	Actionable alternative
Total users	Weekly active users (WAU)
Total pageviews	Pages per activated session
App downloads	Signup-to-activation rate
Social followers	Click-through rate to signup
Revenue (one-time)	MRR (recurring only)

The shift: from counts to **rates** and from totals to **per-user** figures.

MRR, ARR, gross revenue: what each lies about

Monthly recurring revenue defined

MRR is the predictable recurring income normalized to one month:

```
MRR = total active customers × average monthly revenue per customer
```

What MRR includes: subscription fees that renew automatically.

What MRR excludes: one-time setup fees, lifetime deals, non-recurring add-ons, usage spikes.

A customer on a $120/year plan contributes $10 MRR, not $120.

(Stripe, 2026: stripe.com/resources/more/what-is-monthly-recurring-revenue)

ARR and gross revenue: the lies

ARR (Annual Recurring Revenue) = MRR times 12.

It is useful for reporting to investors. It is misleading for weekly operations because it makes a small business sound larger than it is. At $800 MRR, your ARR is $9,600: a number that feels close to $10k and tempts you to stop pushing.

Gross revenue includes everything you collected, recurring or not. A spike from a lifetime deal can triple gross revenue in one month and drop back to baseline the next. If you optimize for gross revenue, you will optimize for spikes.

Track MRR. Report it weekly. Resist ARR until you are past $50k MRR.

MRR has components worth tracking separately

Once you have at least 10 paying customers, decompose MRR:

- **New MRR:** from customers who signed up this month
- **Expansion MRR:** upgrades from existing customers
- **Churned MRR:** lost from cancellations
- **Contraction MRR:** lost from downgrades

```
Net new MRR = New MRR + Expansion MRR
              − Churned MRR − Contraction MRR
```

Negative net new MRR even with new signups means existing customers are churning faster than you are acquiring. That is the signal to stop acquiring and start retaining.

Cohort thinking

Why aggregate retention curves deceive

Suppose your product has been live for four months. You pull a retention chart and it shows 40% of users retained at 30 days. That looks reasonable.

But suppose your product improved dramatically in month 3. The aggregate curve blends:

- Month 1 cohort: 15% retained (pre-improvement product)
- Month 2 cohort: 25% retained
- Month 3 cohort: 55% retained
- Month 4 cohort: too recent to measure

The aggregate number (40%) hides that your recent cohorts are performing nearly 4x better than your early ones. Without cohort analysis, you would not know whether to celebrate or panic.

(Ries, 2009; PostHog retention docs, 2024)

Reading a cohort retention table

A cohort table shows each group of users by their signup month (rows) and the percentage still active at each subsequent time period (columns).

```
Cohort    Day 0  Day 7  Day 14  Day 30
Jun        100%    42%     31%     18%
Jul        100%    48%     36%     22%
Aug        100%    57%     44%     29%
Sep        100%    61%     48%      ?
```

The trend in the Day 30 column (18% to 22% to 29%) tells you your product is improving. The aggregate of all four rows hides this signal completely.

> "Your primary metric should be the best proxy for whether you are delivering value to your users. If it goes up, you're doing the right things."

Adora Cheung, Y Combinator (2019)

How to Set KPIs and Goals, YC Startup School

The north-star metric

Every product has one metric that best captures the value it delivers to users. This is the north-star metric.

Choosing it:

- It must be a **leading indicator** of revenue, not revenue itself
- It must be something users do, not something you do
- It must rise when users are getting value and fall when they are not

PostHog's north-star: "Discoveries" (analyzing an insight for 10+ seconds). Users hitting this metric retained 2.3x more than those who did not.

(Vandervell, 2022: posthog.com/founders/north-star-metrics)

Building your one-screen dashboard

This week your dashboard needs exactly four numbers:

1. **Acquisition:** new signups in the last 7 days
2. **Activation:** percentage of those who triggered your activation event
3. **Retention proxy:** percentage who returned on day 7 (set up once, read weekly)
4. **MRR:** Friday snapshot, written in your founder journal

One screen. Four numbers. No more than 15 minutes to read each week. If it takes longer, simplify it.

Take-aways

1. A metric is actionable only if you can link a specific action to the observed change and re-derive it from raw data.
2. MRR is the right recurring revenue metric for early-stage B2C; avoid reporting ARR until you are past $50k MRR.
3. Aggregate retention curves hide cohort-level trends: always look at cohort tables, not totals.
4. Every product has one north-star metric that best proxies the value it delivers to users.
5. Your one-screen dashboard needs four numbers: acquisition, activation rate, day-7 retention, MRR.

What's next

- **Reading:** "Week 1: The B2C funnel and what real numbers look like" at `/c/b2c-10k-mrr-26au/readings/wk01`
- **Section this week:** Wire your funnel: build the dashboard described on the previous slide, in your production product
- **HW1 (due end of week):** Post your dashboard screenshot + Friday MRR snapshot to the class channel
- **Week 2 preview:** Activation deep-dive: the aha moment, onboarding friction, and your first A/B test hypothesis